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Monopoly or Competition? Unraveling the Amazon Paradox

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Abstract
This article draws on the case of Amazon to highlight the inadequacy of theories of imperfect competition and monopoly capital to explain corporate capitalism. As it demonstrates, recent revisions to these frameworks to account for the apparently competitive behavior of Amazon and other large tech firms perpetuate a longer-term trend of compensating for theoretical shortcomings by introducing additional complexity without addressing core problems. We argue that the classical Marxian theory of real competition offers a more coherent and parsimonious explanation for Amazon's behavior: simply, Amazon does not exhibit the conventional signs of monopoly because *it is not a monopoly*.

JEL Classification: B510, L110

Keywords
Marxian economics, Amazon, competition, monopoly capital, rentier capitalism

1. Introduction

As it became clear over the twentieth century that reality failed to live up to the expectations of neoclassical theory, heterodox economists increasingly qualified the proposition that markets were characterized by "perfect competition"—with an infinite number of small sellers and buyers, rational individuals with perfect information, and firms passively accepting prices while merely adjusting quantities. As markets became dominated by a smaller number of larger firms, the capitalist economy left the Garden of Eden and descended into an imperfect world of monopoly pricing, stagnant growth, and surplus capacity. This quantity theory of competition, according to which competition declines with concentration and centralization, was later imported into Marxian economics in the form of the monopoly capital theory of the *Monthly Review* school. Yet these theories did not escape the neoclassical paradigm: the abstract ideal of "perfect" markets remained the benchmark against which the capitalist reality of "imperfect competition" was measured.

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The failure of this framework to account for the behavior of leading firms today has given rise to a perceived paradox, particularly in relation to the Amazon corporation. Its large size and lack of a direct competitor suggest that it should be seen as a monopoly. However, far from exhibiting the expected hallmarks of monopoly—increasing prices and super profits, inefficiency, and technological stagnation—Amazon has engaged in cutthroat price competition, built a highly efficient and technologically advanced logistics system, and intensified competitive pressures across the retail sector and beyond. In response, Keynesian and Marxian economists have attempted to revise these theories by acknowledging price competition and high levels of investment, but then expanding the definition of monopoly to encompass both these dynamics as well as their opposites. As a result, the concept of monopoly has come to refer to all large firms in concentrated markets, regardless of whether they raise or lower prices, expand or stagnate, invest or not. The proposition cannot be falsified.

However, if we simply discard neoclassical theory, the paradox vanishes as well. We argue classical Marxian economics offers a far superior explanation for Amazon's strategy and structure. From this perspective, competition is not *diminished* but *intensified* as units of capital grow larger. Amazon's dominance, then, is not rooted in stable monopoly power, but rather emerges from a competitive "war among firms" (Shaikh 2016: 158). Accordingly, Amazon must continually fight to maintain its position through relentless innovation and restructuring. Slashing prices and investing to develop new technologies and infrastructures are not monopolistic practices, but rather characteristic forms of capitalist competition, undertaken on an increasingly large scale by giant firms. As with all merchant firms, competitive disciplines compel Amazon to develop the conditions of circulation so as to accelerate turnover, reduce circulation costs, and maximize profit. The more coherent and parsimonious explanation is that Amazon does not exhibit the conventional signs of monopoly because *it is not a monopoly*—it is, instead, competing, precisely as expected.

This article employs a case study methodology to highlight the persistent inadequacy of theories of imperfect competition and monopoly capital in explaining corporate capitalism. It demonstrates that recent revisions to these frameworks perpetuate the long-term trend of compensating for the shortcomings of neoclassical theory by introducing additional complexity without addressing core problems. Moreover, it argues that contemporary attempts to expand the definition of monopoly have rendered these theories increasingly incoherent. While there are limits to the conclusions that can be drawn from a single case, the selection of Amazon follows a strongest-case logic: as one of the world's leading corporations, it should confirm the central predictions of monopoly capital theory if those predictions are valid. Indeed, monopoly capital theorists themselves have frequently invoked Amazon as an example. The case of Amazon, therefore, provides a strong test of the explanatory power of monopoly capital theory.

The next section outlines the literature on imperfect competition, and illustrates how this theory was taken up both within Keynesian economics and the *Monthly Review* school of Marxian economics. The third section draws on Marx's *Capital* to theorize the role of merchant firms in the competitive circulation of capital. The fourth section consists of a detailed examination of the market strategy and structure of Amazon. The article concludes that classical Marxian economics provides a powerful explanation for the competitive behavior of Amazon and other large firms.

2. Imperfect Competition, Monopoly Capital, and Intangible Assets

Neoclassical economics defines monopoly in terms of the quantity theory of competition, which sees competition as an effect of the number of sellers in a market (Weeks 2011). Neoclassical theory assumes a state of perfect competition, in which there are markets for all goods and

services that are free from externalities and composed of innumerable small sellers and small buyers, none of which have power over the others or can influence prices. Consumers with rationally ordered preferences seek to maximize their utility by acquiring market-provided goods and services, while rational firms seek to maximize profits by efficiently utilizing all factors of production and adjusting quantities in relation to consumer demand. Assuming a given distribution of income, the interaction between supply and demand results in equilibrium prices, full capacity utilization, and the most efficient distribution of resources. Left to its own devices, the market leads to Pareto-efficient outcomes whereby no one can be made better off without making someone else worse off.

Yet there was a clear disconnect between neoclassical theory and the realities of capitalist development over the latter part of the nineteenth century and the beginning of the twentieth. A series of worsening crises as well as the formation of giant corporations, trusts, and cartels led a generation of heterodox economists to develop a theory of imperfect competition. From this perspective, competition is still a function of the number of firms in a market. However, large technologically advanced firms received increasing returns to scale as a result of their ability to produce more efficiently and outprice competitors. As these firms outcompete smaller rivals, their large investment in fixed capital create barriers to entry that prevent rivals from challenging them and solidify their dominance over concentrated markets. Consequently, they attain what Kalecki (1938, 1965) referred to as a "degree of monopoly" that limits the extent to which they are subjected to market discipline. Rather than *passively* taking prices, as firms grow larger they gain *market power*, allowing them to set prices and increase markup over costs.

From this perspective, the market power that results from diminished competition and increased concentration allows large firms to maximize profits by reducing quantities and raising prices. These can generate higher profits by selling fewer units at higher prices, and, in the absence of competition, they can cut back production without the risk of being undercut by rivals. As oligopolistic firms avoid price cutting, lest all lose, competition shifts to product differentiation and advertising in a struggle for market share. Rather than market discipline leading to full capacity utilization, Pareto efficiency, and perfect competition among numerous small sellers, the heterodox view holds that it drives industrial concentration, suppresses demand, and results in overcapacity and stagnation. If neoclassical economics asserted that laissez faire policies would yield a self-regulating market, Keynesian economists, by contrast, argued that the inherent tendencies of market competition to undermine itself through concentration and centralization and the accrual of market power necessitate state intervention to safeguard competition and ensure welfare.

For both Keynesian and neoclassical economics, therefore, the concentration and centralization of capital appears as a deviation from an ideal perfect market. Heterodox economists conceptualized the degree of monopoly as a point on a continuum, with perfect competition—marked by an infinite number of small sellers—at one extreme, and perfect monopoly—with just a single supplier—at the other. This was often framed as a chronology in which perfect competition gradually gave way to imperfect competition as markets became dominated by a smaller number of larger firms over time. Imperfect competition was therefore defined strictly in relation to an ideal state of perfect competition. As Robinson, one of the architects of the theory, wrote much later, "the whole analysis, which in reality consists of comparisons of static equilibrium positions, is dressed up to appear to represent a process going on through time" (Robinson 1969: vi). According to this view, "competition is always in course of bringing itself to an end [*sic*]" insofar as "the number of firms in an industry is tending to fall and competition is becoming more oligopolistic" (Robinson 1969: ix).

Perfect competition was thus retained within the heterodox framework as an analytical benchmark as well as a mythic origin. Market structures deviating from this ideal were identified as

distortions that disrupt optimal resource allocation. Similarly, systemic dynamics that challenge the position of dominant firms over time, and thereby critically shape their behavior, are assumed away. A half-century earlier, Marx had demonstrated that the concentration of capital and war-like competition among firms were not mutually exclusive, but mutually reinforcing dynamics inherent in the laws of motion of capital. For Marx, even as the gladiators and their weapons became larger and more destructive, the coercive laws of competition continued to drive the relentless accumulation of capital, exploitation of labor, and destruction of the environment. From this perspective, competition is neither perfect nor imperfect, but a *real* structural force shaping the dynamic reproduction of a system understood as being *in motion*. The systemic nature of competition ensures that capitalism is incompatible with human well-being and ecological sustainability.

Nevertheless, subsequent Marxian economists widely embraced the theory of imperfect competition, which involved *rejecting* central elements of Marx's framework. While Marx had brilliantly analyzed the earlier competitive phase of capitalism, the influential *Monthly Review* school held, the current stage of monopoly capital required importing the heterodox analysis. Thus, remedying the "stagnation of Marxian social science" demanded addressing what they saw as its fundamental problem: that "it rests in the final analysis on the assumption of a competitive economy" (Baran and Sweezy 1966: 3–4). Drawing on Steindl (1952), Baran and Sweezy argued that as monopoly firms acquired market power, the system no longer tended toward profitability crises, as Marx had maintained, but rather toward stagnation and overaccumulation. An initial expansion of fixed capital led to substantial surplus capacity, as giant firms in sector after sector reduced quantities and fixed prices. Meanwhile, since cost savings did not translate into lower prices, there emerged a tendency of the rate of surplus to rise that left firms possessing vast liquid capital amidst inadequate investment outlets. Wasteful and destructive state military spending, then, became a critical mechanism for absorbing overaccumulated capital.

Mandel (1970, 1972) likewise argued that monopolization allowed firms to administer prices, increasingly leading them to emphasize advertising spending and product differentiation. Yet for Mandel, imperfect competition did not eliminate the structural dynamics theorized by Marx: monopoly pricing did not create value, but merely redistributed surplus value to the monopoly sector while deferring profitability crises. Monopoly capital not only faced the challenge of realizing surplus value, as elaborated by Baran and Sweezy, but also could not escape the tendency of the rate of profit to fall. Monopoly firms therefore had to offset falling profits and defend their dominant positions through technological development and international expansion. Cowling (1982, 1992) similarly contended that monopoly firms invest in R and D and maintain surplus capacity to reproduce barriers to entry. In both accounts, the "the era of monopoly capitalism. . . displaces the era of free competitive capitalism" as a result of market concentration (Mandel 1970: 46). Like Baran and Sweezy, both Mandel and Cowling saw monopolization as tied to firm size, resulting in chronic excess capacity, oligopolistic price coordination, and the extraction of super profits (Shaikh 2016).

It has become increasingly apparent that theories of imperfect competition and monopoly capital are inadequate for understanding the behavior of today's leading large tech firms—which should be key cases confirming these theories. By all appearances, despite (or rather *because of*) their size, these firms are leading the way in developing advanced technologies within a highly dynamic and fiercely competitive economic sector. The expected empirical indexes of monopoly and imperfect competition are therefore absent. The response within both the Marxian and heterodox traditions has been to simply redefine the theory so it matches the reality, ultimately expanding the indicators of monopoly such that they come to encapsulate all possible behavior of large firms: whether they cut or raise prices, earn high or low profits, enter new markets or not, and undertake high or low levels of investment. Consequently, instead of the competitive behavior of dominant large firms today leading to a challenge to the quantity theory of competition, the

characterization of giant firms with large fixed capital investments as monopolies is upheld *by definition*.

Central to this revision has been the work of Lina Khan, which has provided a new touchstone for understanding monopoly and antitrust (Khan 2017). While Khan's work fits within the mainstream heterodox tradition, her reframing of monopoly has also been widely taken up within Marxian economics. Khan has argued that the case of Amazon, in particular, represents a "paradox": on the one hand, Amazon is a very big firm with no direct competitor, but on the other hand, it appears to be competing in that it is neither raising prices nor making super profits, and is undertaking high levels of investment. Here, heterodox economics faces a crossroads: Either jettison the theory as unsupported by empirical observation, or modify the theory such that it can come to fit the reality. Khan opts for the latter, effectively arguing that Amazon is a monopoly *because* it is competing. Thus, for Khan, Amazon slashing prices and undercutting rivals actually reflects the anti-competitive use of market power. How this is different from what one would expect from a war among firms is not addressed.

Khan insists that prices and efficiency are inadequate indicators of monopoly power, and argues instead that market concentration should be the primary criterion. As she writes, "antitrust law and competition policy should promote not welfare but competitive markets" (Khan 2017: 737). Khan thus upholds the quantity theory of competition regardless of whether its predicted signs of monopoly are present. In fact, Khan goes further: not only does she propose moving away from a focus on price, she defines price competition itself as anti-competitive. As such, she focuses much criticism on Amazon's so-called predatory pricing strategy, where products are ostensibly sold below cost to achieve market dominance. Ironically, this implies that competitive firms would limit price competition, akin to the practices described in *Monopoly Capital*, while monopoly firms would have the power to engage in aggressive price competition. Khan thus asserts that concentrated sectors are uncompetitive, and then supports this assertion by defining all behavior of these firms as uncompetitive regardless of what they do.

Khan contends that Amazon's monopoly power is underpinned by capital markets, as investors prioritize growth over profits, as well as by platform ownership. For Khan, online platforms are inherently monopolistic due to "network effects" that arise from control over data, which constitute significant barriers to entry and reinforce the power of first movers. As she argues, "technology platform markets will yield to dominance by a small number of firms" as platform popularity "compounds and is mutually-reinforcing" (Khan 2017: 785). Additionally, control over data grants these companies exclusive access to customer and supplier data, further enhancing their power relative to competitors. Left unaddressed by Khan is the question of why, if these markets are inherently monopolistic, these companies are massively investing in developing technologies and infrastructures, rather than stagnating and collecting monopoly benefits as imperfect competition theory would predict. In reality, this rapidly-changing sector is intensely and increasingly competitive, as discussed below.

Khan's analysis implies that the problem is not capitalism itself, but rather monopolistic concentration, which can be rectified through public policy. Nevertheless, much of Khan's analysis has been incorporated within a reconstructed Marxian monopoly capital theory. Thus, for Durand and Milberg (2020), Vasudevan (2022), Coveri et al. (2022), Rikap (2022), Pagano (2014), Foley (2013), and Varoufakis (2023), the monopoly power of "digital platform companies" derives from their ownership of intangible assets, which generate barriers to entry in the form of "network externalities and complementarities." Monopoly is secured through a self-reinforcing cycle, as these firms invest in assets that become more valuable the more they are used, while further enhancing the value of other assets they own. Such network effects enable these firms to establish control over value chains, as other firms and consumers become dependent on them. As a result, these markets come to be dominated by a small number of large firms, which are able to extract "information rents." Some, such as Durand and Varoufakis, go as far as to suggest that

this dynamic is now culminating in a transition to a "technofeudal" mode of production that is distinct from capitalism.

These theorizations represent an extension of the *Monthly Review* analysis. As Vasudevan writes, the emergence of a rentier platform economy represents "the culmination of trends associated with the emergence of large corporations that have been highlighted by the monopoly capital school" (Vasudevan 2022: 1270). The economy is controlled by large firms that dominate concentrated markets protected by barriers to entry. Unlike Khan, however, these Marxian analyses tend to more clearly identify market concentration as leading to the traditional dynamics of imperfect competition. The reduction of competitive pressures allows giant firms to extract "huge monopoly rents," supposedly resulting in underinvestment, overcapacity, and stagnation. As we see, this is very far from the case. While Vasudevan stops short of declaring that this marks the emergence of technofeudalism, the dynamics she identifies are markedly similar to those described by Varoufakis and Durand—even suggesting that digital platforms "have created the modern equivalent of a serf by appropriating and monetizing the digital footprint of the daily lives of people," enabling tech firms to amass the data that underpins the value of their intangible assets and, consequently, supports their monopoly power (Vasudevan 2022: 1286).

However, Vasudevan seeks to sever the imperfect competition framework from the quantity theory of competition adopted by Baran and Sweezy, Robinson, and Kalecki. She aims to ground monopoly capital in the classical Marxian school associated with Shaikh, as well as Foley, Weeks, and Clifton. As Shaikh argues, competition is not determined by the number of firms in a market but by the mobility of capital, which drives the tendential equalization of the profit rate outlined by Marx in volume 3 of *Capital* (Marx 1981). According to this view, competition occurs as capital circulates among the branches of industry seeking the highest profits—exiting from assets with relatively low returns, and entering those with relatively high returns. Within this framework, Vasudevan argues, monopoly arises from barriers to capital mobility that block the equalization of the profit rate, enabling certain firms to secure above-average profits (Mandel 1981; Basu 2021; Vasudevan 2022). From this perspective, monopoly rents can be extracted from other capitals within value chains by leveraging market power in the distributional struggle between firms, without necessarily raising prices.

In attempting to reconstruct monopoly capital within the classical Marxian framework, Vasudevan undermines its key insight: that the enlargement of the units of capital does not mitigate, but intensifies, the competitive war among firms. For one thing, she suggests that the large corporation as such blocks the equalization of the profit rate, thereby implying that corporate capitalism will inevitably take the form of monopoly capital one way or another. More specifically, Vasudevan sees platform firms as benefiting from artificial (i.e., legal) monopolies as a result of data ownership, as well as natural monopolies derived from the specific technologies they acquire. Yet arguing that ownership of these assets blocks capital mobility ultimately reduces to the claim that this fixed capital investment creates barriers to entry, thereby allowing a small number of large firms to dominate markets and extract monopoly rents. Because she sees this as compatible with lower prices, Vasudevan reconciles monopoly capital theory with the absence of the typical signs of monopoly—as well as the empirical case of Amazon—thereby directly paralleling Khan's work. However, Vasudevan offers no evidence that Amazon is actually extracting "huge monopoly rents."

Like other new monopoly-capital theorists, Rikap (2022, 2023) stretches the definition of monopoly to encompass what is more easily seen as competitive behavior. She concedes that tech firms relentlessly innovate, expand capacity, and slash prices, yet claims that "insurmountable barriers to entry" enable them to extract rents by purchasing inputs at below-market prices (Rikap 2023). As for Khan and Vasudevan, monopoly power is not reflected in the *high* prices

charged to consumers, but the *low* prices paid to suppliers. This compels supplier firms to engage in the "super-exploitation" of their workers, especially in the global south (Vasudevan 2022; Milberg and Winkler 2013). Rikap's primary contribution has been to suggest that tech firms "distract regulators" and hide super-profits by classifying R and D as an expense, which is subtracted from profits, rather than investment, which is not. On this basis, she treats the entire R and D budget—from payroll to the cost of experimental technologies—as if it were a store of monopoly rents. But this is deeply misleading: Amazon's R and D spending is precisely what fuels the innovation and efficiency that underpin its competitiveness. In any case, as we see below, even if we accept Rikap's accounting, Amazon does not appear to be extracting monopoly rent.

If prices are competitively determined, a further difficulty arises. A central problem with the new monopoly capital literature is its failure to incorporate Marx's category of *commercial profit*, which it incorrectly identifies as rent. In classical Marxian economics, competition ensures that commodities sell at what Marx called their *prices of production*. Insofar as merchant firms undertake the "pure" merchant activities of buying and selling, they do not create additional surplus value. Although these activities are unproductive, they are functional for capital as they increase turnover, expand markets, and free up capital for investment, thereby increasing the production of surplus value. If merchants could not secure the average rate of profit, they could not sustain their operations. By purchasing commodities from industrialists below their prices of production, and selling them at these prices, merchants receive a share of the surplus, which Marx defined as commercial profit. The magnitude of this share is determined by competitive distributional struggle within value chains, between merchant and industrial capitals.

It is therefore difficult to distinguish what these accounts describe as monopoly rent from normal commercial profit. If goods sell at their prices of production (which we would expect given downward pressure on prices, as acknowledged by Khan, Vasudevan, and Rikap), then the income of merchant capitals could only be classified as rent if these merchants consistently receive above-average rates of profit by extracting "excessive" surplus from value chains. This characterization is ultimately indistinguishable from imperfect competition, as such rents would have to come either from merchants marking up prices charged to supplier firms (i.e., high fees) or from paying them below-market prices for their products. If these fees and prices are competitively determined, then the merchant would not receive above-average profit rates, and this income is simply commercial profit. This difficulty is compounded by the fact that the fees paid to merchant firms (and especially Amazon) also reflect the extent to which such firms undertake additional productive activities, such as transportation and storage. As merchant firms take on a wider range of activities, their total share of the realized surplus value would be expected to increase.

In what follows, we analyze Amazon to assess the validity of the claims of the new monopoly capital theorists. We argue that Amazon's behavior is better explained by the classical Marxian theory of real competition, which holds that the relentless struggle for profit determines firm behavior and market dynamics without relying on neoclassical idealizations or monopoly-centric explanations. Competition is situated as an intrinsic feature of the capitalist mode of production, derived from the fundamental drive of individual capitals to expand in pursuit of profit maximization. This perspective rejects notions of equilibrium and stasis, portraying competition as a turbulent process in which any limitations on competition are inherently temporary and subject to being dismantled. In effect, this approach turns Robinson on her head: rather than competition perpetually undermining itself, it is the constraints on competition that are continuously overcome as giant firms tear down any barriers to entry that may temporarily protect above-average profits. As we demonstrate, Amazon's

competitive behavior is incompatible with a theory of monopoly—unless monopoly is equated with competition itself.

3. Circulation, Competition, and Market Dominance

The case of Amazon makes it especially clear that the neoclassical quantity theory of competition, shared by monopoly capital, Keynesian, and orthodox theory, fails to capture the dynamics of contemporary corporate capitalism (Weeks 2011). As Marx demonstrated, competition is not an effect of the number of sellers in a particular sector. Capital is not intrinsically connected to the production of any specific use value, but is oriented around maximizing monetary accumulation. Capitalists will invest in producing whatever commodities are able to facilitate the realization of surplus value in the money form through market sale. As such, particularly for large corporations that can marshal huge financial power, barriers to entry are ephemeral and temporary. Indeed, "as capital requirements increase throughout the economy, this simply means that the necessary armaments for waging a successful competitive battle are also increasing" (Botwinick 2017: 152–153).

As Marx held, and the classical Marxian school has emphasized, competition takes place among both producers of identical use values (intrasectoral) and firms in different economic sectors (intersectoral) (Fine and Saad-Filho 2016; Marx 1981). That is, competition occurs not just within individual product markets but across the entire economy as capital flows into outlets with higher returns and away from those with lower returns in search of maximum profits. The primary choice every capitalist faces is thus *where to invest*. Any above-average profit rates will attract capital inflows, thereby leading to a tendency toward the equalization of profit rates across the economy and ensuring that competitive advantages enjoyed by particular firms are never secure or stable. As the circulation of capital across space and among the different branches of production becomes easier, quicker, and cheaper, increasing capital mobility, competitive pressures are intensified across all sectors and assets to either maximize returns or face the withdrawal of investment. Since the large corporation is the *most* mobile, it is also the *most* competitive form of capitalist organization (Clifton 1977; Shaikh 2016; Bryan and Rafferty 2006).

Of course, firms may enjoy specific cost or locational advantages that cannot be reproduced by all competitors. Marx gives the example of a waterfall on privately owned land, which offers its owner a particular cost advantage as a supply of energy—a form of natural monopoly. Similarly, the state may create legal or artificial monopolies, as with public utilities. Yet all firms continue to exploit every available advantage in the ongoing war among capitals. The pressures of real competition continually drive changes in technologies, market conditions, and institutional forms that undermine protected industries and displace natural advantages. The higher a firm's profit rate rises above the average, the stronger the incentive for other capitals to enter and drive down excess profits. Large corporations, in particular, can draw upon the credit system to cover fixed costs of entry, and thereby challenge even the most entrenched market positions over time (Marx 1981; Mandel 1981; Bryan 1985, 1986). Only when monopolistic obstacles to competition are sustained are certain owners able to earn income above the average rate of profit, or rent. Differential rent emerges from advantages in productivity that cannot be competed away (such as fertility or location), while absolute rent is appropriated through property rights that restrict access to land or other assets.

For Marx, rent is *income persistently in excess of the prices of production, arising from monopolistic barriers to capital mobility that impede the equalization of profit rates.* Commercial profit, by contrast, remunerates circulation and realization functions and gravitates around the average rate of profit. It becomes rent only where monopolistic barriers prevent new entrants from competing away above-average returns. This classical Marxian theorization contrasts

sharply with contemporary accounts of "rentier capitalism" that label as rent any return based on ownership of supposedly "scarce" assets, regardless of whether this depends on the interruption of profit-rate equalization (Christophers 2020). Such accounts tend to conflate rent with profit, and thus come to see monopoly and rent everywhere.[1] Once the link between rent and the competitive equalization of profit rates is abandoned, there is no benchmark average rate of profit against which to measure rent. Any income from ownership can appear "rentier." Redefining capitalism as a rentier order in this way obscures the fact that rent is not a separate source of value creation, but a particular mode of appropriating finite surplus value produced through the labor process. What disappears, in the end, is capitalism's foundation in the exploitation of labor.

In fact, the evidence suggests that the intensification of real competition among large firms ensures that the capture of monopoly rent is the exception, not the rule (Davis and de Souza 2022). Larger firms can more easily restructure by moving into profitable markets while divesting from others. Moreover, such firms competitively allocate capital across their diversified operations, and even individual facilities, with minimal transaction costs. In this way, competition occurs *within* large multi-process firms. They also possess the most substantial research and administrative capacities for assessing the value of different operations and investment opportunities. These competitive disciplines within large firms have propelled financialization, whereby the role of money capital, as the most abstract and most mobile form of capital, has been enhanced. Since money can be invested in producing *any* commodity, firms organized around the allocation of money capital cannot simply be identified with particular economic sectors, but are able to invest in whatever economic activities are most profitable. Financialization has also involved an enhanced role for capital markets and financial institutions in competitively allocating investment across the economy (Clifton 1977; Serfati 2011; Bryan 1985, 1986; Maher and Aquanno 2024; Maher 2022).

This means that even the most powerful firms remain vulnerable, as the war among firms only grows more ruthless and expensive as giant corporations tear through barriers to competition. Baumol's (1982) neoclassical theory of "contestable markets" likewise held that the mere threat of entry disciplines even highly concentrated industries, compelling dominant firms to invest heavily in innovation. With free entry and exit, he argued, concentrated markets can approximate the Pareto-efficient outcomes of perfect competition. His framework thus highlighted the distinction between *market structure* and *firm behavior*. Yet Baumol's assumptions that entry is "free" and that prevailing technologies are available to all firms conceal the turbulent and costly reality of competition among large corporations. From a classical Marxian perspective, competition is

[1] While Christophers (2020) conflates rent with profit, seeing monopoly and rent "everywhere," later work offers more nuanced analyses. Baines and Hager (2025) argue that measuring economic rent is extremely difficult. They suggest addressing this challenge by developing a new definition of rent that combines Kalecki's degree of monopoly model with an "investment-to-payout" measure, calculated as the ratio of stock buybacks and dividends to capital expenditures. In their view, rent can only be observed when rising shareholder returns relative to capital investment correspond with increasing price markup. This approach suggests that makeup alone is insufficient to indicate monopoly power, since firms may raise prices to generate funds for investment in the face of competition. Yet it remains unclear why firms facing such pressures would be able to increase prices without losing market share. In complementary accounts, Andreoni and Roberts (2022) focus on intellectual property and governance structures as sources of extractive returns, while Birch and Cochrane (2022) identify multiple forms of digital rentiership, arguing that platform governance, intellectual property, and data infrastructures generate new avenues for value extraction. Nevertheless, these accounts also expand the category of rent beyond the classical Marxian definition. From our perspective, regardless of its specific sources or forms, any ability to appropriate rent must be rooted in monopolistic obstacles to capital mobility, and should manifest as income persistently above the socially average rate of profit.

not merely potential but real; and while firms may strive for monopolistic control, they remain locked in warlike rivalries that bear no resemblance to "perfect contestability," generating continuous and volatile disequilibrium.

Moreover, for the classical Marxian school, firms are not passive price takers responding to exogenous consumer demand, as in the neoclassical model, but active price setters intent on shaping that demand. They cultivate consumer wants through the "sales effort," including advertising, product "upgrades," and planned obsolescence, which Baran and Sweezy (1966), Mandel (1972), and Galbraith (1958, 1967) identified as emblematic of the wastefulness of monopoly capital. Yet this hardly marks the end of price competition. However wasteful the sales effort may be in moral terms, it remains a crucial weapon in the struggle of real competition. Large firms do not wait for consumers to demand products; they aggressively invest to create them, then compete to persuade consumers to buy. Firms are not participants in a gentle dance of supply and demand but combatants in open economic warfare. As Shaikh observes, "price is their weapon, advertising their propaganda, the local Chamber of Commerce their house of worship, and profit their supreme deity" (2016: 261).

Less attention has been paid to the ways competition disciplines capital to accelerate *turnover time*, or the amount of time it takes capital to complete the circuit M–C–M′. The faster capital is turned over, the more surplus value is produced within a given period of time. Capital is thus competitively driven to reduce production time and circulation time as close to zero as possible. After being advanced in the money form (M), capital is transformed into the commodities labor power and means of production (C). This allows capital to take on its productive form (P), entering a process through which a new commodity is produced (C′). Marx calls this new commodity *commodity capital*, as it is pregnant with surplus value waiting to be realized in the money form through a sale (M′). Marx expressed this in the extended formula M–C. . .P. . .C′–M′. The circuit of capital is thus a unity of production and circulation: while M–C and C′–M′ take place within circulation, P. . .C′ occurs within production. Turnover time, then, consists of *production time* plus *circulation time*.

Just as capital's competitive drive to minimize production time demands the implementation of new technologies, that same drive also compels firms to reduce circulation time through the improvement of transportation, logistics, and communications infrastructures. The transformation of capital into "the different forms which [it] clothes itself in its different stages, alternately assuming them and casting them aside"—from money form, to productive form, to commodity form, back into money form—involves an abstract movement. However, as the circulation of capital is the "movement of abstraction in action," it ultimately depends on the physical movement of goods and money. While commodities may "remain in the same warehouse while they undergo dozens of circulation processes, and are bought and sold by speculators," circulation ultimately requires "a motion of the products in space, their *real movement* from one location to another" (Marx 1978: 226, 185). The competitive drive to reduce circulation time therefore also compels the continuous development of the physical conditions of circulation.

The continuity of the circulation process is complicated by the fact that it is carried out by individual capitals, which are linked together into value chains even as they compete with one another to maximize their share of surplus value. Each form that capital adopts as it moves through the circulation process corresponds to a particular economic sector or "branch of business": money capital is the specialized function of the financial sector, productive capital that of the industrial sector, and commodity capital that of the merchant or retail sector. However, in practice merchant capital is also involved in producing surplus value, as Marx recognized. Marx argued that "storage and transport of goods in a distributable form" can also be productive of surplus value. The continuity of the production process requires that inputs and outputs be transported across space between the individual capitals fulfilling particular stages of the process,

making transportation of the unfinished commodity itself a stage in the production process. Similarly, the ultimate consumption of finished goods requires that they be transported to the place where consumption occurs. Those activities necessary to affect such a "change of place" must therefore be seen as "production processes that continue within the process of circulation" (Marx 1981: 379–80).

The production and circulation process, therefore, takes place through the uncoordinated interaction of competing capitals. The turnover of each individual capital is dependent on the production of inputs, and purchase of outputs, by other individual capitals. In addition to warding off competition from producers of the same or similar products, firms also compete to maximize their share of surplus value within these value chains. By leveraging control over strategic points within the general circulation process, firms may increase their bargaining power relative to their suppliers and customers—thereby seeking to prevent value from leaking to others in the supply chain by minimizing the prices paid for inputs and maximizing those charged for outputs. This competitive struggle shapes the distribution of surplus value both within and across sectors. Thus, even the most concentrated sectors are not static, but highly dynamic, with the distribution of surplus value shifting as the balance of power between firms is shaped and reshaped by changing economic, organizational, regulatory, and technological conditions.

As Marx held, this competitive struggle leads to a tendency toward the equalization of the profit rate. This includes both productive and commercial profit. It is important to avoid confusing the latter with monopoly rent, as the new monopoly capital theorists have often done. For merchant firms to continue their operations, they must be able to receive the average rate of profit, lest capital migrate out of that sector through the process described above. To classify commercial profit as rent, it would need to be demonstrated that the commercial profit rate consistently exceeded the average profit rate. This could only occur if merchant capital sold goods above their prices of production, or if industrial firms were compelled to sell below the social average. However, if industrial firms are competitively disciplined (i.e., not engaging in monopolistic markup), prices and profits could only be driven so low before production became unviable. Likewise, if merchant capital consistently earned above-average profits, this would attract capital to that sector, eventually overcoming barriers to entry and bringing down the profit rate to the social average.

To maximize their share of the surplus, firms seek the highest prices for their output. But competition compels them to develop new technologies and labor processes that lower costs, and thus *reduce prices*. This includes increasing productivity within the sphere of production as well as introducing innovations in circulation processes. To maximize profit, merchant capital is compelled to reduce circulation costs and turnover time, thereby accelerating the compression of space and time for all capitals dependent on these infrastructures (Harvey 1990). Merchant capitals must therefore develop infrastructures and distribution systems that offer wider access to markets, or that facilitate the especially rapid transportation of products "from one separate place of production to another" and from "the sphere of production to the sphere of consumption" (Marx 1978: 227). Merchant capitals that develop superior transportation and distribution systems can offer productive capitals the opportunity to reduce circulation time and increase profit rates. For this reason, industrial capital is incentivized to share a portion of the surplus with merchant firms.

In practice, however, a significant portion of merchant activities are productive of surplus value, particularly in the case of Amazon. As we have seen, commercial profit is subtracted from industrial profits as merchants purchase goods below their prices of production and sell them at their prices of production. Yet merchant capital today is not limited to merely circulating finished goods; instead, it effectively involves purchasing unfinished inputs, performing value-added labor, and then selling finished commodities. In this way, the production process extends deeply

into the process of circulation. The productive operations of merchant firms must be factored into the formation of prices of production, which include the costs and profits associated with these activities. Thus, although merchant firms purchase products below final market prices, or receive fees for their services from consumers or other firms, this reflects not only buying low and selling dear, but also the fact that these firms are carrying out aspects of the production process itself.

The struggle among all firms for strategic advantage, then, does not negate competition, but occurs on the basis of a continuous war among firms. Firms in the same sector seek to produce similar products more efficiently and cheaply, while firms across all sectors compete for investment and try to leverage their control over strategic points within the circulation process to increase their bargaining power vis-à-vis customers and suppliers. Through this turbulent process, input and output costs, prices of production, and thus ultimately commercial and industrial profit rates are established. For their part, merchant firms must both attract productive capitals to sell their output as quickly as possible to the largest markets, as well as consumers to purchase it at competitive prices. They are thus competitively disciplined to continuously revolutionize the means of circulation, developing new infrastructures and technologies to reduce transaction costs and turnover time for *all* capitals as close to zero as possible.

4. Amazon's Competitive Dominance

As we saw, the modern application of monopoly capital theory essentially sees Amazon, along with other tech companies, as leading to the emergence of varying degrees of technofeudalism. The problem with such accounts begins with their failure to seriously examine the companies they see at the center of this economic order. Instead, they often focus on isolated aspects of these companies' operations, abstracted from their broader activities, and overlook the ways in which the profitability of these firms remains grounded in the exploitation of labor and is supported by high levels of investment. A closer look at Amazon reveals that such views cannot be sustained. In reality, Amazon is engaged in the competitive production and circulation of commodity capital. It secures a share of the surplus by charging fees and paying wholesale prices, both of which factor into prices of production. As we see, the intangible assets Amazon owns have not alleviated competition; on the contrary, these sectors are intensely competitive.

Amazon is a *merchant capitalist* firm, embodying the circuit of commodity capital in organizing the circulation of commodities pregnant with surplus value. It acquires products from manufacturers or other retailers, stores them in warehouses, manages this inventory, sells to consumers, and transports commodities from the sphere of production to the sphere of consumption. In addition to the "pure" merchant practices of buying and selling, therefore, Amazon has invested a staggering amount of capital to construct a vast circulatory system for transporting, dispersing, and storing commodities—all of which are productive activities. Like all merchant capital, Amazon is compelled by the coercive laws of competition to continuously reduce circulation time and circulation costs, thereby accelerating turnover and enhancing circulating efficiency for all capitals utilizing its infrastructure. The competitive drive to compress circulation time, slash circulation costs, and maximize profits compels Amazon to maximize efficiency through work discipline and productivity improvement.

Central to Amazon's strategy has been the development of physical infrastructures and technologies for circulating commodity capital. Large warehouses known as Fulfillment Centers (FCs) are responsible for receiving incoming shipments from suppliers and sellers, storing products, picking items from shelves to fulfill orders, packing goods into boxes, and preparing them for shipment. Sortation Centers (SCs) focus on sorting and organizing packages of commodities received from FCs, which have already been purchased by customers, and sending them out for delivery. Delivery Centers (DCs) are smaller and more fragmented facilities which manage the "last mile" delivery of commodities to customers. Amazon's intense drive toward "time-space

compression" has also been reflected in the expansion of Same-Day Delivery Centers, where particularly in-demand commodities are stored for delivery to customers' homes the very same day the order is placed (Harvey 1990).

In addition, Amazon operates a cloud-computing business, Amazon Web Services (AWS). Cloud computing allows firms to purchase computing capacity on demand, without needing to invest in permanent IT infrastructures. AWS is therefore an extension of Amazon's merchant activities, leasing out means of production to other capitalists. Centralizing computer capacity in this way creates economies of scale, enabling other firms to reduce their own costs. Amazon continues to make substantial investments in expanding and improving these systems, which entails low marginal costs while yielding high margins. Consequently, although it represents a relatively small portion of Amazon's revenue, AWS is responsible for a very large portion of its profits (68 percent), thus strongly appealing to investors. Although it emerged from Amazon's warehouse system, AWS has now become a major business in its own right, serving as the back end for a significant portion of internet traffic and generating a steady stream of income that supports all the firm's operations.

AWS has been important for Amazon's ability to accumulate data via its online platform, Amazon.com. The assertions by the new monopoly capital theorists that these constitute a barrier to capital mobility and allow owning firms unique and durable advantages is inconsistent with Amazon's actions, which reflect a continuous need to ward off competitors. To be sure, Amazon's possession of consumer data increases its ability to efficiently target and advertise to consumers. However, reproducing its ability to do so requires continuous investment, as the consumer preferences such data reveal, as well as technologies for extracting and storing data and selling commodities, are all constantly (and rapidly) changing. Moreover, Amazon's continued possession of these intangible assets requires that the mechanism it uses for such data collection, Amazon.com, continue to be attractive to producers and consumers. As a result, Amazon's possession of intangible assets depends on its capacity to exploit labor, accelerate turnover, and slash costs.

Amazon's massive investments in AWS and logistics demonstrates the vulnerability of its market position. Continued high levels of investment indicate the competitive vulnerability these firms face and challenge the assertion that there are "infinite returns to scale" on the intangible assets they own (Durand and Milberg 2020: 417). Monopoly capital theories portray ownership of such assets as conferring permanent market power to their possessors. Yet the very intangible nature of these assets means they are always in a process of expiration and continuously in need of being renewed, including through control over future technologies. Moreover, the cloud sector is becoming increasingly competitive. Although Amazon is now dominant, with a 30 percent market share, it faces increasing competition, as Microsoft and Google have captured 25 percent and 11 percent, respectively. Far from stagnating monopoly, let alone feudalism, such intense competition has propelled the characteristic dynamics of technological development, cost-cutting, and capacity expansion.

Far from Amazon being reducible to a "platform company," as is often done by monopoly capital theorists, the competitiveness of AWS cannot be understood in isolation from its interconnection with Amazon's logistics and retail operations, which comprise nearly 85 percent of net sales. Growing competition in the cloud sector has strongly reinforced the integration of AWS with Amazon's other operations. To compete with its rivals, Amazon offers AWS clients additional logistics and supply chain management services tailored to their operations. Thus, Amazon's market strategy for AWS revolves around its ability to maintain its cutting-edge logistics capacities. If Amazon's logistics supports the competitiveness of AWS, so does AWS support the competitiveness of its logistics. Indeed, AWS remains important for Amazon's efficient circulation of commodity capital, enhancing inventory and route management as well as demand forecasting.

Amazon's competitive position is therefore rooted in its advanced logistics and lightning-fast delivery. While all merchant capitals are compelled to maximize circulation velocity and efficiency, Amazon faces specific pressures in this regard. Unlike brick-and-mortar retailers such as Wal-Mart, which provide the opportunity to acquire commodities "on the spot" but require the customer to travel to a physical location, Amazon organizes the circulation of commodities directly to the customer's door—but requires that the customer wait for delivery. Competitive success, therefore, demands bringing delivery time to an absolute minimum. Amazon has been remarkably successful at this, however, with over 200 million customers now enrolled in Amazon Prime, which promises even shorter delivery times, and free shipping, for designated products (Soper 2024).

Competition compels Amazon to maximize the exploitation of labor. In addition to "filling up the pores of the working day" by intensifying work and limiting breaks and free time, as has been well documented, Amazon has undertaken massive R and D expenditures to improve labor productivity (Gangadharan et al. 2023; Marx 1976: 534). Amazon is today the leading corporate R and D spender—surpassing, for example, high-tech and aerospace companies (Buntz 2024). This spending is heavily focused on improving the productivity of labor through robotization, artificial intelligence, and algorithmic discipline and coordination (Delfonti 2021). The deskilling and intensification of the labor process through such practices facilitates the acceleration of circulation velocity, reduction of circulation costs, and production of surplus value. Additionally, insofar as wage goods are purchased on Amazon, the cheapening of these commodities eases pressure for wage increases among all workers and facilitates the production of relative surplus value across the economy (Lebowitz 2003).

Amazon's very strong R and D investment challenges the idea that it is a monopoly (figure 1). To be sure, its Tobin's Q ratio, which measures the relationship between market valuation and the replacement costs of its assets, is on the high side of the average among major firms (figure 2). This suggests that Amazon ostensibly has the financial capacity to raise additional funds to expand investment through equity or debt markets. However, focusing on Amazon's relatively high Tobin's Q obscures the rapid growth and extraordinary scale of its R and D expenditures, which suggest that the firm is likely already investing as much as it can productively given real institutional, technological, and labor market constraints.[2]

In the absence of competition, Amazon would have little incentive to undertake technological innovation. In reality, Amazon has been compelled to reproduce its market power by continuously developing—even revolutionizing—the technical bases of production and circulation. This underscores the persistence of competitive pressures bearing down on Amazon. While Khan acknowledges Amazon's high levels of investment, she sees this as part of a strategy for accumulating anti-competitive market power. The implication is that such "predatory" competition is merely temporary, aimed at achieving a monopoly position in the long term by undercutting rivals in the short term. Once it has (inevitably?) destroyed its rivals and consolidated its monopoly, it can presumably curtail investment and raise prices. Durand and other theorists of techno-feudalism similarly see such investment as leading to the accumulation of intangible assets that underpin a stable monopoly position.

However, it is clear there is no sign whatsoever that such competition is abating; on the contrary, as Amazon has expanded, competition has *rapidly intensified* across all the economic

[2]What Amazon's relatively high Tobin's Q ratio really reflects is its high share price, indicating market expectations of future profits relative to physical capital. This says nothing about actually realized profits on invested capital. Market valuation, therefore, is in no way an adequate measure of market power. Stock prices are ultimately anchored in profit rates and thus connected to underlying fundamentals, albeit in a highly turbulent and contradictory fashion. A more reliable indicator of monopoly power is persistently above-average profit rates, which reflect a firm's actual ability to extract economic surplus beyond what competitive conditions would allow.

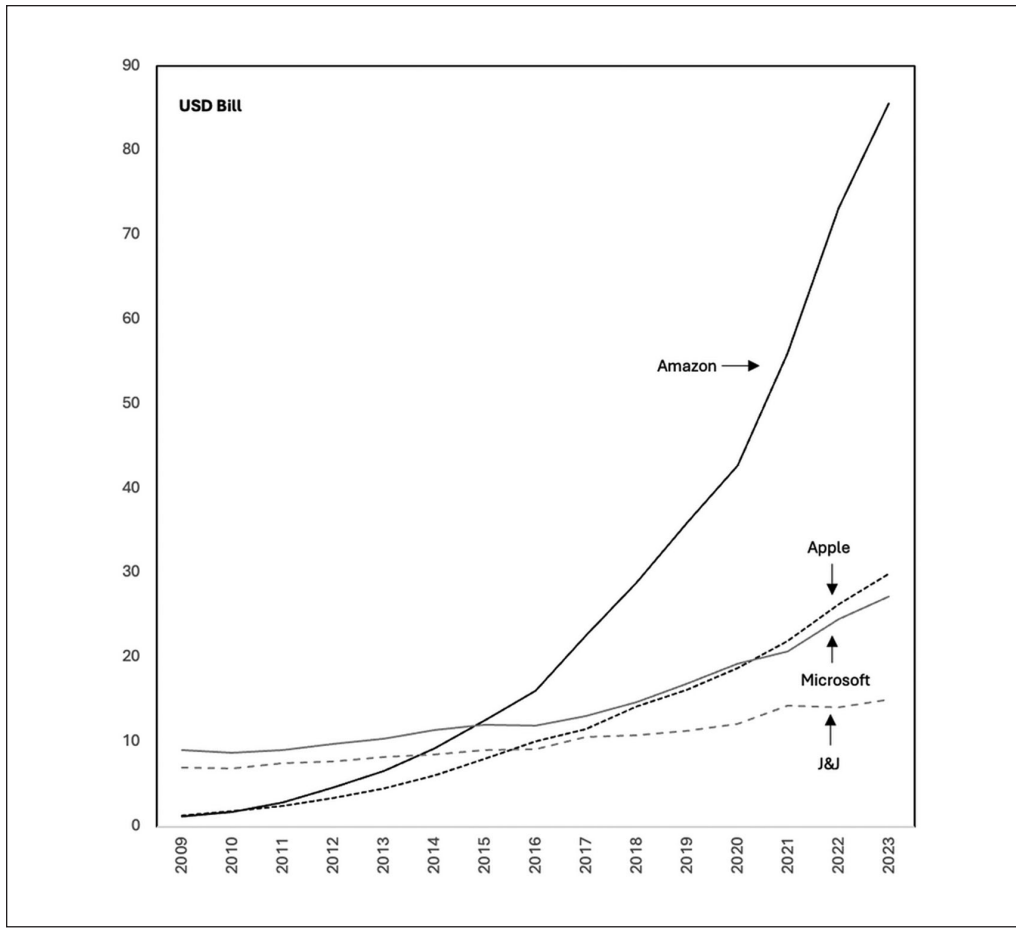

Figure 1. R and D expenditures: Amazon vs leading R and D spenders, 2009–2023.
Source: Macrotrends (n.d.-a).

sectors in which it is engaged. As classical Marxian economics has held, capital's tendency to expand is the very source of the tumultuous dynamics of competition. Such competition is *always* aimed at eliminating rivals. Yet it is impossible to actually achieve this. Dominant market positions are always vulnerable to challenge and must be continually defended. Any temporary reprieve from competitive disciplines that barriers to entry and high fixed costs provide should not be overestimated, particularly given the massive financial resources available to large firms. Such resources include the integration of these firms with the financial system, and therefore the generation of credit and competitive circulation of investment across the economy. As a result, inefficiencies resulting from the use of outdated methods or technologies can always be exploited by rival firms and new market entrants.

Amazon's drive to accelerate circulation velocity and rapidly deliver commodities to consumers is reflected in the spatial structure of its warehousing and logistics system, which operates across integrated national and regional scales with key commodities warehoused near major urban centers. This means that the flow of commodity capital through Amazon's logistics infrastructure is by no means frictionless, but spatially segmented at the regional level. In fact, 76 percent of orders are shipped from an FC within the customer's region (Herrera 2023). Moreover,

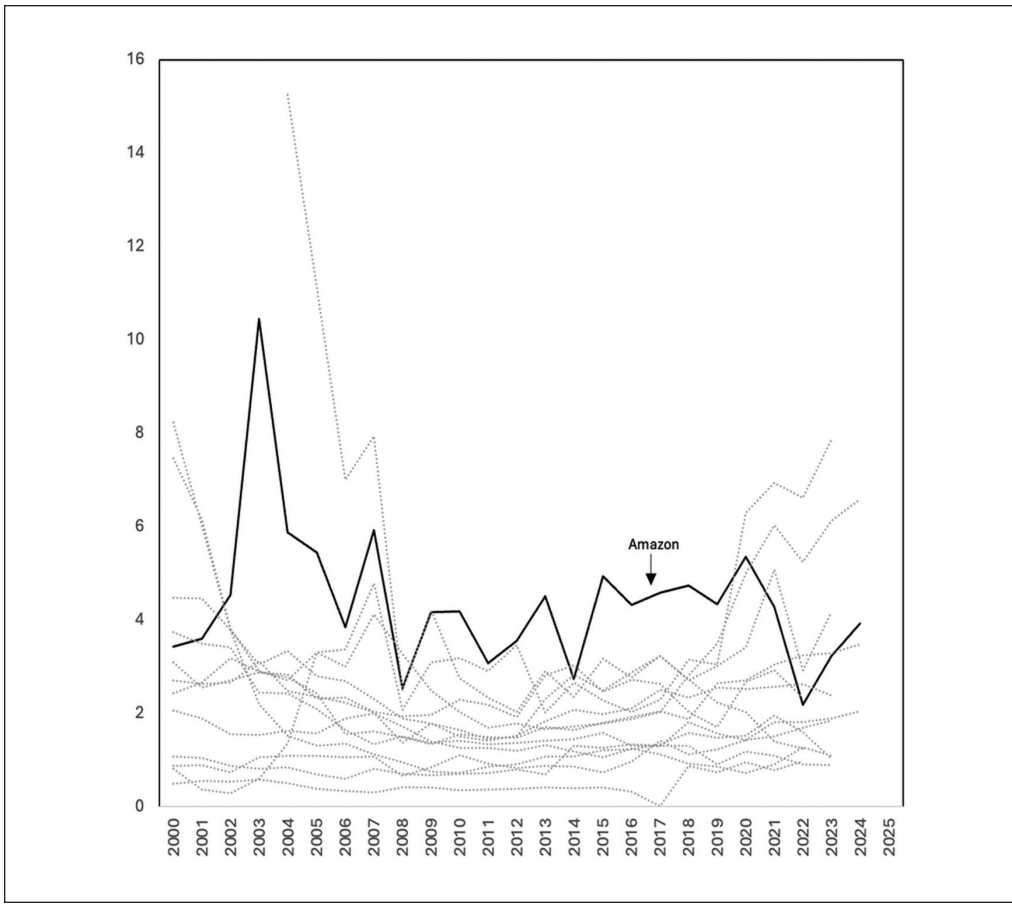

Figure 2. Tobin's Q: Amazon vs leading firms, 2000–2025.
Source: YCharts (n.d.-a) and authors' calculations.

Amazon's high levels of investment enable it to maintain substantial surplus capacity, which is underutilized except during certain peak times. This affords the system considerable flexibility in rerouting the flow of commodities to circumvent any interruptions or blockages (Young 2024). Nevertheless, the spatial fragmentation of commodity circulation across Amazon's logistics network creates contradictions and potentialities for disruption, which well-organized workers may strategically exploit.

Despite this spatial decentralization, Amazon centralizes control over the flows of commodity capital acquired from other productive and merchant capitals. These include first-party sellers (1P), who sell their inventory directly to Amazon, making it "the seller of record"; second-party sellers (2P), or retailers whose independently owned inventory is integrated with and supplements Amazon's own; and third-party sellers (3P), who use Amazon to sell to consumers, although their inventory is frequently managed by Amazon via third-party logistics (3PL) contracts in the form of a service called Fulfillment by Amazon (FBA). Smaller 3P sellers supply a large and growing proportion of the commodities Amazon circulates. At the same time, Amazon is now positioning itself to manage the inventories and supply chains of other large corporations by offering "Supply Chain by Amazon" services.

1P sellers primarily include mid-market brand owners, which lack the cache or brand value that could support their ability to sell independently. 3P sellers are smaller retailers

or manufacturers. These firms are in many respects only nominally independent, as they rely heavily on Amazon's logistics systems and platform. Moreover, because suppliers and sellers are fragmented, while Amazon is centralized, the former actually compete with one another to supply Amazon on terms favorable to the latter. Competition among fragmented 1P suppliers and 3P sellers thus reinforces Amazon's market position and strengthens its bargaining leverage vis-a-vis these firms, which it uses to secure its share of the surplus by negotiating favorable wholesale prices with 1P sellers and charging fees to 3P sellers. Meanwhile, these suppliers and sellers benefit from selling through Amazon, as it speeds up turnover time, reduces circulation costs, and connects them with wider markets.

Amazon's strong position within the value chain has been reflected in its ability to negotiate favorable wholesale prices with 1P sellers, as well as to impose substantial fees on 3P sellers—which can exceed 50 percent of sales revenue (Federal Trade Commission 2024). Amazon applies three kinds of fees: referral fees, fulfillment fees, and advertising fees. Referral fees are a percentage of each item sold, typically 15 percent, although this varies by product—with some (computers) as low as 8 percent and others (eyewear) as high as 17 percent. Fulfillment fees are charged for Amazon's 3PL services, covering picking and packing, shipping and handling, customer service, and returns. Sellers are required to use Amazon's 3PL services in order for products to be labeled "Prime," making them more attractive to Prime members. As a result, 90 percent of Amazon's top 10,000 sellers use FBA. Finally, advertising fees are charged for access to preferential screen space, including search rankings and "highly rated" product designations.

In effect, Amazon pays input costs for unfinished commodities from both 1P and 3P sellers, then undertakes productive and unproductive activities to finish and sell those commodities—both capturing commercial profit (for unproductive activities) and realizing new surplus value when commodities are sold at their prices of production. In the case of 1P sellers, Amazon's input costs take the form of wholesale prices, which are below the prices of production. When it then sells commodities at the prices of production, the difference is Amazon's cut of the surplus. In the case of 3P sellers, Amazon acquires commodities from the seller, then finishes and sells them. It then transfers one portion of the value realized to the seller and keeps the rest. In the latter case, this appears as a fee paid by the seller, but this fee in fact represents the portion of the value of the commodity which Amazon *retains* after the sale (and which consists of a mixture of commercial profit and realized surplus value).

While referral fees have remained relatively static, Amazon has continuously hiked fulfillment fees and captured growing revenues from advertising fees. Indeed, Amazon's fee revenue has increased by a total of roughly 49 percent since 2016. Annual revenue from fees is now as much as $185 billion—more than twice AWS revenue (Mitchell 2023). Since search results are by no means "organic" but are purchased by sellers, successfully selling products on Amazon effectively requires sellers to pay fees for their products to be visible in search results. Amazon has allocated greater space for paid results over time, such that today few of the first twenty search results are typically organic or based on "meritocratic sorting." The intensification of competition among sellers for screen space has allowed Amazon to capture a larger portion of seller revenues, as these firms are compelled to spend more on advertising. Amazon has also raised FBA fees to cover logistics costs, including for heavier or larger items, for carrying low inventory, and for high return rates.

These fees are nearly sufficient to cover all operating expenses for Amazon's logistics and retail system, as well as all new investment.[3] This means that Amazon can use the revenue from fees to cover fulfillment costs for its own inventory, allowing it to undercut competitors by

[3]Amazon's operating expenses in 2023 were approximately $234 billion, including $146 billion in SG and A expenses as well as $86 billion in R and D. As noted, Amazon collected approximately $185 billion in fees from third-party sellers. Additionally, we estimate that the cash hoard Amazon accumulates through its low CCC (discussed below) amounts to as much as $30 billion annually.

selling at lower prices. While often overlooked by monopoly capital theorists, it is important to understand that these increases in Amazon's fees correspond to the dramatic acceleration of circulation velocity made possible by Amazon's staggering investments in building out its advanced logistics in the period since 2016. In this way, increasing fees have been matched by substantial increases in sales volume and time-space compression. Fees also reflect Amazon's extensive integration into the production process: acquiring inputs, working them into saleable form, and selling them, then retaining a portion of the realized surplus through fees. The level of these fees thus reflects the extent to which Amazon takes on additional operations, and offers superior services, compared to its major rivals.

These fees cannot, therefore, be seen as monopoly rents. Amazon's control of 80 percent of the US e-commerce marketplace market enables it to offer high sales volumes, creating a strong incentive to sell on its platform. Wal-Mart, in contrast, has a much smaller market share and lower sales volumes, but is nevertheless seeking to compete with Amazon by offering sellers lower fees. Wal-Mart is now gaining ground in e-commerce, adding to the pressure on Amazon from a host of other platforms competing in specific markets, such as electronics, home improvement, and pet supplies. Furthermore, the higher profit margins of Amazon sellers compared to those of Wal-Mart also suggests that Amazon's fee structure remains competitive. Additionally, the increasing fees 3P sellers face have not led to higher market prices for their products. Instead, these fees have intensified downward pressure on costs, leaving North American sellers unable to compete with Chinese and other firms with lower costs. Consequently, most of the largest sellers on Amazon today are Chinese.

The globalization of Amazon's supplier and seller value chain has been reflected in the expansion of Inbound Cross-Dock (IXD) facilities, which receive and store inventory from foreign vendors. Through the large-scale buildout of IXDs, Amazon is rapidly becoming a critical gateway into the large US market for cheap Chinese manufacturers. In order to streamline the flow of newly imported commodities into Amazon's FC network and minimize transportation time, IXDs are located as close as possible to major ports. In addition to receiving shipments, these facilities also act as buffers, holding goods until FCs need new inventory. At that point, commodities are aggregated onto trucks and distributed to the appropriate FC locations. IXDs are thus structured to ensure the continuous flow of commodity capital into Amazon's logistics system, reducing the risk of interruptions caused by delays or uncertainties in international shipping and maximizing circulation velocity.

Far from Amazon's dominance leading to higher monopoly prices, competitive disciplines have driven the globalization of its value chain, intensified time-space compression, and forced prices *down*. These facts are in no way paradoxical: once theories of monopoly capital and imperfect competition are abandoned, the paradox vanishes. Indeed, Amazon has engaged in ruthless price competition to undercut its rivals. As we have seen, Amazon's very structure internalizes price competition, including through its e-commerce marketplace where a vast range of commodities compete for consumers' dollars. Amazon has consistently ranked as the lowest-price retailer since 2016. In 2023, Amazon's prices averaged 4 percent lower than Wal-Mart's for identical products and were a whopping 16 percent lower on average than rival retailers overall. That 70 percent of Amazon and Wal-Mart products have identical prices today suggests a process of price slashing and convergence at a lower level, as would be predicted by Shaikh's theory of real competition (Profitero 2023).

In addition to charging fees and negotiating favorable wholesale prices, Amazon's ability to compress circulation time has enabled it to accumulate a monetary hoard. Since Amazon controls capital at the moment surplus is realized (i.e., at the point of sale), it regulates the reflux of this money back to suppliers and sellers. Amazon amasses a monetary hoard by managing the difference between buying time and selling time—in effect, passing on only a portion of the total gains

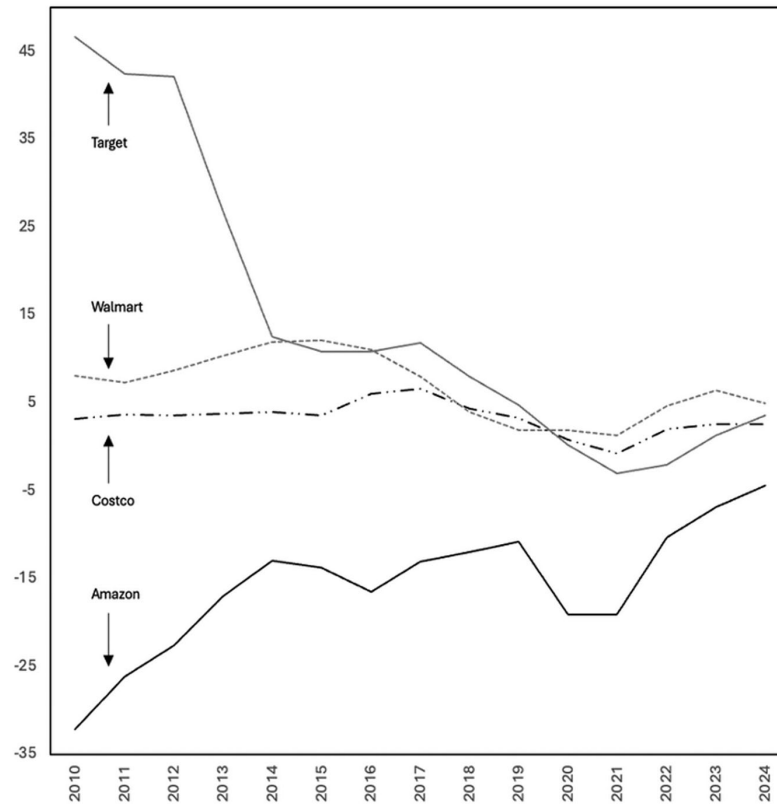

Figure 3. CCC, Leading Merchant Firms, 2010–2024.
Source: YCharts (n.d.-b) and authors' calculations.

in circulation time to suppliers, while still ensuring that the reduction it offers is sufficient to provide suppliers an incentive to sell on Amazon. Recall that circulation time = selling time + buying time. While Amazon reduces overall circulation time, it speeds up selling time more than buying time, rapidly converting commodity capital into the money form (selling time) then retaining control of this money for a certain duration (buying time). By holding cash owed to suppliers, Amazon gains continuous access to interest-free capital, while displacing the debt and interest load onto weaker supplier firms.

The quicker Amazon sells products and receives money, and the longer it defers payment to its suppliers and sellers, the more this hoard grows. This differential can be measured in terms of the so-called Cash Conversion Cycle (CCC). The lower the CCC, the longer a firm holds on to cash after selling its inventory and receiving payment, but before paying its bills. A firm's leverage over suppliers and customers can therefore be reflected in a low CCC, indicating the relative ability of a firm to demand or delay payments owed. Additionally, a low CCC is often correlated with a high share price. The CCC figures for leading merchant capital firms are illustrated in figure 3. These numbers can be calculated differently, and can therefore vary significantly from one source to another. Nevertheless, by all accounts, Amazon has consistently had among the lowest CCCs of any major corporation. At year-end 2023, Amazon posted a CCC of + 6.9, well

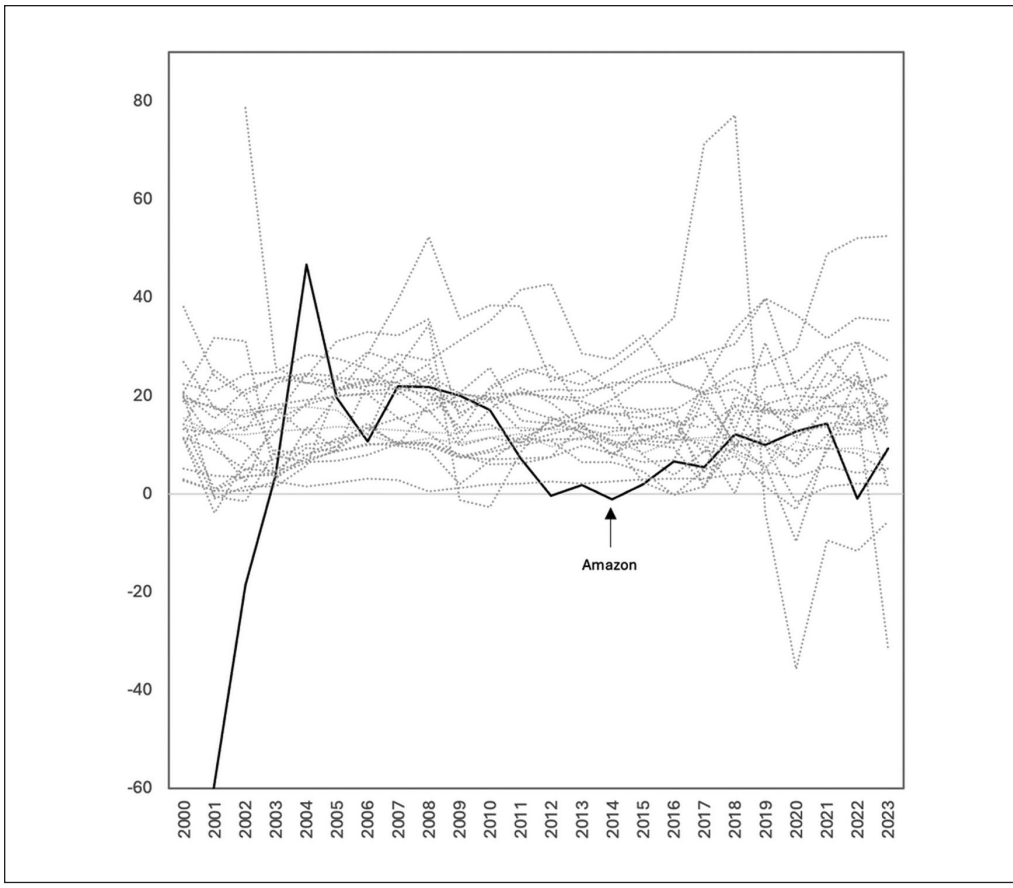

Figure 4. Return on invested capital: leading US firms, 2000–2023.
Source: YCharts (n.d.-c) and authors' calculation.

below the retail sector average. Meanwhile, Amazon's most direct competitor, Wal-Mart, posted a CCC of +6.5.

As figure 3 illustrates, despite Amazon's strong initial advantage over its main rivals, there has since been a striking convergence among these firms' CCCs over time, precisely as the theory of real competition would predict. Amazon's ability to reproduce a monetary hoard was critical to its ability to finance its very high levels of investment prior to its becoming consistently profitable in the mid-2010s with very low debt. This allowed it to offer especially low prices, intensifying competitive disciplines both across the retail sector as well as other markets dominated by giant firms. While Khan has identified such practices as the predatory undercutting of rivals, with monopoly price hikes expected to follow, this has not occurred, as discussed above. Far from reflecting the extraction of rent from suppliers supported by stable monopoly power, sustaining its low CCC required Amazon to continuously reduce circulation time. Despite undertaking the massive investment necessary to do so, competition has led Amazon's CCC to steadily trend toward the mean.

Perhaps the most important challenge to the new monopoly capital theorists is that there is simply no indication that Amazon's profit rate is in any way exceptional. Were it to be protected by barriers to capital mobility or market concentration, then this should show up in above-average profit rates. Indeed, this would be the main indicator of any ability to extract higher than

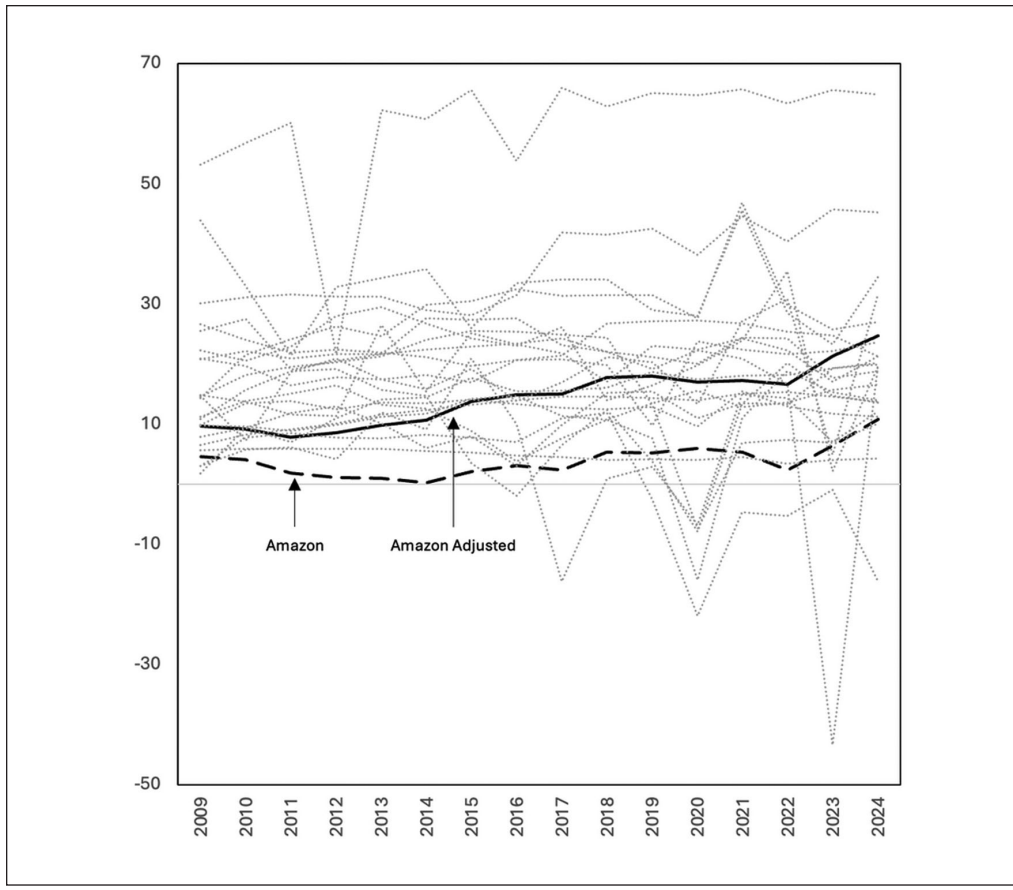

Figure 5. Operating margins: major firms vs Amazon adjusted and non-adjusted, 2012–2024.
Source: Macrotrends (n.d.-b) and authors' calculation.
Note: Leading firms outside the tech sector.

"normal" quantities of surplus value (rent) through distributional struggle within value chains as a result of its possession of intangible assets. Return on invested capital (ROIC) (figure 4) and operating margins (figure 5) together provide a dual perspective on profitability: the former per unit of capital deployed, the latter per unit of sales. Both indicate competitiveness rather than unchallenged monopoly dominance. As figure 4 shows, Amazon's ROIC converges closely with the average among leading firms across every sector of the US economy—and is even at the lower end of the distribution. Likewise, the profitability of Google, a relatively more "pure" platform company, has also not substantially exceeded the average over the post-2012 period.

The convergence of Amazon's ROIC and CCC with other leading firms, together with intense price competition and pressure to compress turnover time, all challenge the plausibility of Rikap's claims regarding Amazon's hidden super profits. While Rikap inflates profits by adding R and D expenses, she never compares Amazon's profit rate to the broader economy. Yet showing that net margins rise after capitalizing R and D is not the same as showing persistent above-average profitability relative to other firms. As figure 5 demonstrates, Amazon's operating margins are in no way exceptional, and are even on the lower side of the average for large US firms, though they have improved in recent years.[4] Even after Amazon's profits are adjusted to include its entire R

[4]Because Rikap contends that all leading tech firms (not just Amazon) conceal excess profits, other tech firms are excluded here.

and D budget, as Rikap proposes, the firm's profitability still remains close to the mean. Thus, even when Amazon's profitability is measured in the broadest conceivable way, there is no indication of the sustained above-average profitability that would indicate monopoly power.[5] In short, there is no evidence that the tendency toward the equalization of the profit rate that results from capital mobility has been suspended, as Vasudevan, Durand, Rikap, and others have claimed.

5. Monopoly or Competition?

Amazon perfectly illustrates how economic concentration does not negate, but intensifies capitalist competition. Indeed, it is impossible to conclude that Amazon has escaped the disciplines of competition. As we saw, Amazon exhibits the opposite behavior of what theories of monopoly capital and imperfect competition would predict: very high R and D investment, cutthroat price competition, and average profits. Thus, while Amazon clearly has a dominant market position, this can by no means be understood as a stable monopoly—unless monopoly is defined as competition itself, as Khan effectively does. Nor does the evidence support the arguments of Durand, Vasudevan, and other new monopoly capital theorists that ownership of intangible assets suspends competition. As a result, the case of Amazon, presented by these writers as a strong case in support of their views, casts serious doubt on their conclusions.

The implications of this conclusion for antitrust politics are significant. Indeed, Khan's work was of course directly relevant to her position as Federal Trade Commissioner. If Amazon's dominance reflects not the suspension but the intensification of competition, then the premise underlying Khan's approach to antitrust reform—that concentration mitigates market discipline—cannot hold. Efforts to "restore competition" by breaking up or restraining such firms thus misdiagnose the problem, and fail to target the *logic* of capitalist rivalry. Amazon's behavior suggests that even under conditions of market concentration, the drive to accumulate through productivity gains, cost-cutting, and market expansion remains intact and indeed sharpened. Antitrust politics grounded in the ideal of a bygone competitive capitalism therefore obscure the systemic sources of power and exploitation in contemporary corporate capitalism, reproducing rather than challenging the competitive imperatives that generate such dominance in the first place. The question, then, is not whether Amazon departs from "capitalism as usual," but rather how competition actually operates within it.

Amazon must continuously defend its position by investing to increase productivity and efficiency. As it does, it enacts the capitalist tendency, enforced by the coercive laws of competition, to accelerate circulation velocity, reduce circulation costs, and exploit labor. Amazon therefore demonstrates the ephemeral nature of barriers to entry and the continued dynamism of capital even—in fact, *especially*—in the most concentrated sectors. As Amazon has entered and competed *across* sectors over the past decade and more, it has challenged what might have previously been seen as the most monopolistic firms, not only including Wal-Mart, but also Netflix,

[5]A similar pattern emerges using net profit margins, which is the metric Rikap (2022) uses, and which Nitzan and Bichler (2009) as well as Baines and Hager (2025) employ as a proxy for market power. However, operating margin is in our view a better measure as it excludes accounting effects such as interest payments and taxes. Two firms with identical operations—and identical market power—could have very different net margins if they differ in financing structures, such as debt levels. Because Rikap uses net profit margins, she ends up adding R and D expenditures into profits while subtracting taxes. Monopoly rents would have to derive from market power in production and sales, not from favorable tax treatment or low interest rates. Operating margin therefore provides a clearer indicator of market competitiveness and pricing power, and is the measure employed in this article. ROIC (shown in figure 4) is an even better proxy for the profit rate, as it measures profitability per dollar invested rather than per dollar of revenue. Monopoly rents should show up as persistent above-average returns on capital, not just operational efficiency.

Microsoft, Google, FedEx, and Disney. Indeed, Amazon has surpassed Netflix as the leading provider of streaming video. Similarly, Amazon's purchase of MGM yielded not only a high-margin business, but also one that has been vertically integrated with its streaming service. And, it now delivers more parcels than FedEx and UPS.

Amazon thus not only exemplifies the turbulent process of achieving a dominant market position, it also highlights the reality that such a status can only ever be partial, and must be constantly defended amid the relentless competitive dynamics of capitalist restructuring and innovation. Crucially, this means that Amazon remains *vulnerable*. To be sure, Amazon has constructed a unique infrastructure for efficiently circulating commodity capital. Yet this uniqueness should not be overstated. Amazon's model could be replicated or replaced, and it faces relentless pressure from other firms racing to accelerate circulation and delivery as traditional rivals update their business models and new entrants chip away at its position. While Amazon may wish to eliminate all its rivals—as all firms do—the nature of capital itself, capable as it is of entering into whatever circuits facilitate its drive for self-expansion, makes this an utter impossibility.

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